

SENATE BILL 2396

By Yarbro

AN ACT to amend Tennessee Code Annotated, Title 29
and Title 39, relative to criminal offenses.

WHEREAS, this act establishes criminal penalties for employers who:

- (1) Facilitate labor trafficking of foreign workers;
- (2) Exploit and profit from employing unauthorized workers through systematic schemes;
- (3) Systematically evade employment verification and reporting requirements, resulting in lost tax revenues; and
- (4) Undermine wage and labor standards for Tennessee workers; now,
therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 39-13-301, is amended by adding the following as new subdivisions:

() "Employer" means a person, company, corporation, partnership, or business entity that hires or employs one (1) or more persons in this state;

() "General contractor" means a person or entity that contracts for construction, alteration, repair, or improvement of any structure or building and subcontracts any portion of that work to another person or entity;

() "Pattern of systematic evasion of verification and reporting" means repeatedly or systematically:

- (A) Failing to complete or maintain employment eligibility verification forms, such as an I-9, required by federal law;

(B) Failing to examine identity and work authorization documents required by federal law;

(C) Failing to report employee wages and withholdings to state and federal authorities as required by law; or

(D) Maintaining inadequate or false employment records for three (3) or more workers within any twenty-four-month period, where such pattern or systematic evasion facilitates the employment of unauthorized workers;

() "Unauthorized worker" means a person who does not have legal authorization to work in the United States under federal law;

SECTION 2. Tennessee Code Annotated, Title 39, Chapter 13, Part 3, is amended by adding the following as new sections:

39-13-317. Systematic unauthorized employment.

(a) A person commits systematic unauthorized employment who is an officer, manager, or hiring agent with authority to act on behalf of an employer and:

(1) Recklessly engages in a pattern of systematic evasion of verification and reporting requirements;

(2) Misclassifies a worker as an independent contractor rather than an employee with intent to evade employment verification requirements;

(3) As a general contractor, employs a subcontractor, knowing that the subcontractor is employing unauthorized workers on the general contractor's project or in reckless disregard of obvious evidence of such employment; or

(4) Knowingly uses or contracts with an independent contractor or subcontractor whose business is substantially reliant on unauthorized labor.

(b) A violation of subsection (a) is a Class E felony. Notwithstanding § 40-35-115, the sentencing court may order a person convicted of violations of subsection (a) involving multiple victims to serve the sentences for each conviction consecutively.

(c) It is an affirmative defense to a violation of subsection (a), which must be proven by a preponderance of the evidence, that a general contractor required subcontractor compliance with employment verification laws in the subcontract, verified the subcontractor's compliance systems, and terminated the subcontractor upon discovering any violation.

(d)

(1) In addition to any other amount of loss identified or any other punishment imposed, the court shall order restitution to the victim, unless otherwise designated, in an amount equal to the greater of:

(A)

(i) The gross income or value of the benefit received by the defendant as the result of the victim's labor or services; or

(ii) The value of the victim's labor as guaranteed under the minimum wage and overtime provisions of the Fair Labor Standards Act (FLSA) (29 U.S.C. § 201 et seq.), or the minimum wage required in this state, whichever is higher;

(B) The value of unpaid benefits that were legally required;

(C) Unpaid taxes and unemployment contributions, which must be paid to the appropriate government entity;

(D) Workers' compensation premiums evaded; and

(E) Damages to a competing business if proven at the defendant's sentencing hearing.

(2) Defendants are jointly and severally liable with their subcontractors or independent contractors for all restitution amounts related to a shared project or work.

(e)

(1) A person may be held individually liable for the debts, obligations, and liabilities of the employer under this section.

(2) An officer or director of a corporation or other business entity may be held personally criminally liable for the corporation's or other business entity's violation of this section if the officer or director directed, authorized, or knowingly permitted the violation.

(3) In addition to any other penalty authorized by law, a defendant that is a corporation or other business entity must be subject to:

(A) An additional fine of no less than fifty thousand dollars (\$50,000) and no more than five hundred thousand dollars (\$500,000);
and

(B) Mandatory compliance monitoring of future employment practices as a condition of the defendant's probation. The court may appoint an independent compliance monitor at the defendant's expense.

(f) The successor business of a business that is sold, transferred, or reorganized to avoid prosecution under this section may be subject to:

- (1) Pending criminal charges;
- (2) Restitution orders; and
- (3) Licensure revocation.

(g) An employer who discriminates against an employee in violation of title 4, chapter 21, part 3, while claiming compliance with this section may face separate criminal charges and enhanced civil penalties.

39-13-318. Aggravated systematic unauthorized employment.

(a) An employer commits aggravated systematic unauthorized employment if the employer violates § 39-13-317(a) and:

- (1) Commits a pattern of ten (10) or more knowing violations within a period of twenty-four (24) months;
- (2) Pays the workers a wage that is below the federal minimum wage or denies legally required overtime pay;
- (3) Creates or provides false documents to workers;
- (4) Maintains unsafe or substandard working conditions for workers;
- (5) Maintains substandard or overcrowded housing for workers;
- (6) Retaliates against workers who report violations or exercise workplace rights;
- (7) Threatens workers with deportation, law enforcement contact, or immigration consequences;
- (8) Withholds wages, final pay, or earned benefits from workers;
- (9) Systematically evades employment tax obligations, including payroll withholding, workers' compensation, and unemployment insurance;
- (10) Has a prior conviction for violating this section or another criminal offense related to labor, employment, or tax law;
- (11) Confiscates or controls workers' identification documents or immigration papers;

(12) Uses layers of subcontracting or misclassification schemes to conceal unauthorized employment; or

(13) Acts as general contractor while knowingly utilizing multiple subcontractors who employ unauthorized workers.

(b) A violation of subsection (a) is a Class D felony. Notwithstanding § 40-35-115, the sentencing court may order a person convicted of violations of subsection (a) involving multiple victims to serve the sentences for each conviction consecutively.

(c)

(1) In addition to any other amount of loss identified or any other punishment imposed, the court shall order restitution to the victim, unless otherwise designated, in an amount equal to the greater of:

(A)

(i) The gross income or value of the benefit received by the defendant as the result of the victim's labor or services; or

(ii) The value of the victim's labor as guaranteed under the minimum wage and overtime provisions of the Fair Labor Standards Act (FLSA) (29 U.S.C. § 201 et seq.), or the minimum wage required in this state, whichever is higher;

(B) The value of unpaid benefits that were legally required;

(C) Unpaid taxes and unemployment contributions to the appropriate government entity;

(D) Workers' compensation premiums evaded; and

(E) Damages to a competing business if proven at the defendant's sentencing hearing.

(2) Defendants are jointly and severally liable with their subcontractors or independent contractors for all restitution amounts related to a shared project or work.

(d)

(1) A person may be held individually liable for the debts, obligations, and liabilities of the employer under this section.

(2) An officer or director of a corporation or other business entity may be held personally criminally liable for the corporation's or other business entity's violation of this section if the officer or director directed, authorized, or knowingly permitted the violation.

(3) In addition to any other penalty authorized by law, a defendant that is a corporation or other business entity must be subject to:

(A) An additional fine of no less than fifty thousand dollars (\$50,000) and no more than five hundred thousand dollars (\$500,000); and

(B) Mandatory compliance monitoring of future employment practices as a condition of the defendant's sentence. The court may appoint an independent compliance monitor at the defendant's expense.

(e) The successor business of a business that is sold, transferred, or reorganized to avoid prosecution under this section may be subject to:

- (1) Pending criminal charges;
- (2) Restitution orders; and
- (3) Licensure revocation.

(f) An employer who discriminates against an employee in violation of title 4, chapter 21, part 3, while claiming compliance with this section may face separate criminal charges and enhanced civil penalties.

39-13-319. Revocation of professional or business license – Prohibition on contracting with the state.

In addition to the criminal sentence authorized, a person or entity that is convicted of violating § 39-13-308, § 39-13-317, or § 39-17-318 is subject to the following:

(1) Revocation of any professional or business license. Upon conviction, the clerk of court must forward a certified copy of the conviction to any state or local government agency under which the person or entity has a professional or business license. The state or local government agency shall, upon receipt of the conviction, revoke the person's or entity's professional or business license for:

- (A) One (1) year for a violation of § 39-13-317;
- (B) Three (3) years for a violation of § 39-13-318; or
- (C) A permanent revocation for a violation of § 39-13-308; and

(2) A prohibition on contracting with the state for:

- (A) Five (5) years for a first violation of § 39-13-317;
- (B) Ten (10) years for a second violation of § 39-13-317;
- (C) A permanent prohibition for a third or subsequent violation of § 39-13-317;
- (D) Ten (10) years for a violation of § 39-13-318; or
- (E) A permanent prohibition for a violation of § 39-13-308.

SECTION 3. Tennessee Code Annotated, Section 39-13-308, is amended by deleting subsections (b) and (c) and substituting:

(b)

(1) Trafficking for forced labor or services is a Class C felony.

(2) Trafficking for forced labor or services is a Class A felony if the victim was more than twelve (12) years of age but less than eighteen (18) years of age.

(3) Notwithstanding § 40-35-115, the sentencing court may order a person convicted of trafficking for forced labor or services involving multiple victims to serve the sentences for each conviction consecutively.

(c)

(1) In addition to any other amount of loss identified or any other punishment imposed, the court shall order restitution to the victim, unless otherwise designated, in an amount equal to the greater of:

(A)

(i) The gross income or value of the benefit received by the defendant as the result of the victim's labor or services; or

(ii) The value of the victim's labor as guaranteed under the minimum wage and overtime provisions of the Fair Labor Standards Act (FLSA) (29 U.S.C. § 201 et seq.), or the minimum wage required in this state, whichever is higher;

(B) The value of unpaid benefits that were legally required;

(C) Unpaid taxes and unemployment contributions to the appropriate government entity;

(D) Workers' compensation premiums evaded; and

(E) Damages to a competing business if proven at the defendant's sentencing hearing.

(2) Defendants are jointly and severally liable with their subcontractors or independent contractors for all restitution amounts related to the project or work.

(d)

(1) A person may be held individually liable for the debts, obligations, and liabilities of the employer under this section.

(2) An officer or director of a corporation or other business entity may be held personally criminally liable for the corporation's or other business entity's violation of this section if the officer or director directed, authorized, or knowingly permitted the violation.

(3) In addition to any other penalty authorized by law, a defendant that is a corporation or other business entity must be subject to:

(A) An additional fine of no less than fifty thousand dollars (\$50,000) and no more than five hundred thousand dollars (\$500,000);
and

(B) Mandatory compliance monitoring of future employment practices as a condition of the defendant's probation. The court may appoint an independent compliance monitor at the defendant's expense.

(e) The successor business of a business that is sold, transferred, or reorganized to avoid prosecution under this section may be subject to:

- (1) Pending criminal charges;
- (2) Restitution orders; and
- (3) Licensure revocation.

(f) An employer who discriminates against an employee in violation of title 4, chapter 21, part 3, while claiming compliance with this section may face separate criminal charges and enhanced civil penalties.

SECTION 4. Tennessee Code Annotated, Title 39, Chapter 13, Part 3, is amended by adding the following as a new section:

39-13-320. Civil action for unfair competition.

(a) A business may file a claim for unfair competition against a competitor business if the competitor business:

(1) Has been convicted of a violation of § 39-13-308, § 39-13-317, or § 39-13-318; or

(2) Is proven by preponderance of the evidence to have violated § 39-13-308, § 39-13-317, or § 39-13-318.

(b) In order to bring a claim under this section, the plaintiff must:

(1) Be in the same industry and geographic market as the competitor business; and

(2) Demonstrate competitive harm, including, but not limited to, lost contracts, price disadvantages, or market share loss.

(c) A plaintiff may recover:

(1) Injunctive relief requiring the competitor business to cease employing unauthorized workers;

(2) Actual damages, including, but not limited to, lost profits, lost contracts, and price differential damages;

(3) Disgorgement of profits attributable to unauthorized labor;

(4) If the plaintiff can prove that the defendant knowingly violated the criminal statute, treble damages; and

(5) Attorney's fees and reasonable costs.

(d) A criminal conviction for a violation of § 39-13-308, § 39-13-317, or § 39-13-318 is prima facie evidence of unfair competition.

(e) An action under this section must be brought no more than three (3) years from the date of discovering the unfair competition; provided, however, that a claim shall not be brought more than five (5) years from the date of the violation.

SECTION 5. This act does not authorize:

- (1) Discrimination based on national origin, race, ethnicity, or accent;
- (2) Demanding more or different documents based on appearance or name; or
- (3) Selective enforcement based on protected characteristics.

SECTION 6.

(a) If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

(b) This act is independently enforceable under state criminal law authority and does not require federal immigration enforcement cooperation, investigation, or prosecution.

(c) This act exercises Tennessee's concurrent authority to criminalize conduct that violates both state interests and federal law.

SECTION 7. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 8. This act takes effect January 1, 2027, the public welfare requiring it.